- Capacity in Railways has lagged far behind what is needed, especially given the requirement of shifting from road transport to rail in the interests of improving energy efficiency and reducing carbon footprints in development.
- The funding pattern of the Twelfth Plan clearly shows that the modernization of Indian Railways cannot be achieved by simply relying on GBS (Gross Budgetary Support) as about 62 per cent of the resources would have to be generated through non-GBS sources and nearly 20 per cent through private-sector investment.
- There is a need to draw up clear strategies to generate resources by identifying segments where Indian Railways can adopt a low-cost policy by playing on volumes and taking advantage of economies of scale and segments where it can adopt a differentiation approach by providing high quality services and command premium prices.

• The 12th Plan document, a GDP growth rate of about 8 per cent requires a growth rate of about 6 per cent in total *energy use* from all sources:
  - Unfortunately, the capacity of the economy to expand domestic energy supplies to meet this demand is severely limited.
  - The country is not well-endowed with energy resources, except coal, and the existence of policy distortions makes management of demand and supply more difficult.
  - Accordingly, the short-run action needed to remove impediments to implementation of projects in infrastructure, especially in the area of energy, includes ensuring fuel supply to power stations, financial restructuring of Discoms, and clarity in terms of the NELP.
  - At the same time, the long-term strategy should focus on issues like coal production, petroleum price distortion, natural gas pricing, and effective management of the urbanization process.